Product Requirement Document

(Salary Revision Workflow solution)

Prepared by	**Ankur Ray**
Example company	greytHR (illustrative; not commissioned by greytHR)
Document version	v1.0
Date	17 September 2026
Status	Self-initiated exercise
Geography	**India** (Only)
Design file (Wireframes)	Attached below (refer to section 6)
Prototype Link	Click Here

Disclaimer. A self-initiated product exercise: if an HCM player wanted to enter a new vertical, how would I, as a product manager, propose the module? greytHR is used as an illustrative example; this document was not commissioned by or prepared for greytHR. Assumption: greytHR does not yet have a salary revision module, so this is a new feature to be integrated with its existing HCM suite. Designed for Indian payroll only.

1. Executive Summary

Overview. Salary revision is the process of changing an employee's existing compensation structure based on a defined business reason.

Problem Statement. In the absence of a dedicated Salary Revision Workflow, organizations may rely on spreadsheets, emails, and manual coordination to manage salary revisions. While this can work for individual changes, it becomes difficult to manage bulk appraisal cycles, multiple approval levels, budget controls, payroll updates, and employee communication at scale.

Persona	Pain Point (Current)
HR Admin / HRBP	1. Manually initiate and consolidate salary revisions across employees/departments 2. Track recommendations and pending approvals through spreadsheets/emails 3. Validate revisions against budgets and organizational policies and co-ordinate with managers and Payroll for execution
Reporting Manager	1. No centralized place to review and submit salary recommendations 2. Limited visibility into employee's current compensation and proposed revision while making recommendations 3. Manual follow-ups with HR for changes, clarifications, and approval status
Finance / Payroll Admin	1. Receives approved revisions through manual handoffs or files 2. Re-entering compensation changes can create data-entry and payroll risks 3. Difficulty reconciling approved revisions, effective dates, and revised salary components
Employee	1. Limited visibility into the status and outcome of their salary revision 2. Dependence on HR/manager communication for revised compensation details 3. Potential delays between approval, payroll reflection, and employee communication

Goals and Objective. To make salary revisions faster, simpler, and more controlled by providing a single workflow to initiate, recommend, approve, validate, process, and communicate salary changes within greytHR.

Persona	What the solution will enable	Success Measure
HR Admin / HRBP	Initiate and manage salary revision cycles from a single place, in bulk, with full control and visibility	Reduced cycle-processing time and reduced dependency on offline tracking (e.g., 500 revisions in days, not weeks)
Reporting Manager	Review employee compensation and submit revision recommendations through a structured, self-service workflow	Reduced email/spreadsheet-based requests and improved visibility into request status like dashboard
Finance /	Validate and process approved revisions	Increased percentage of revisions

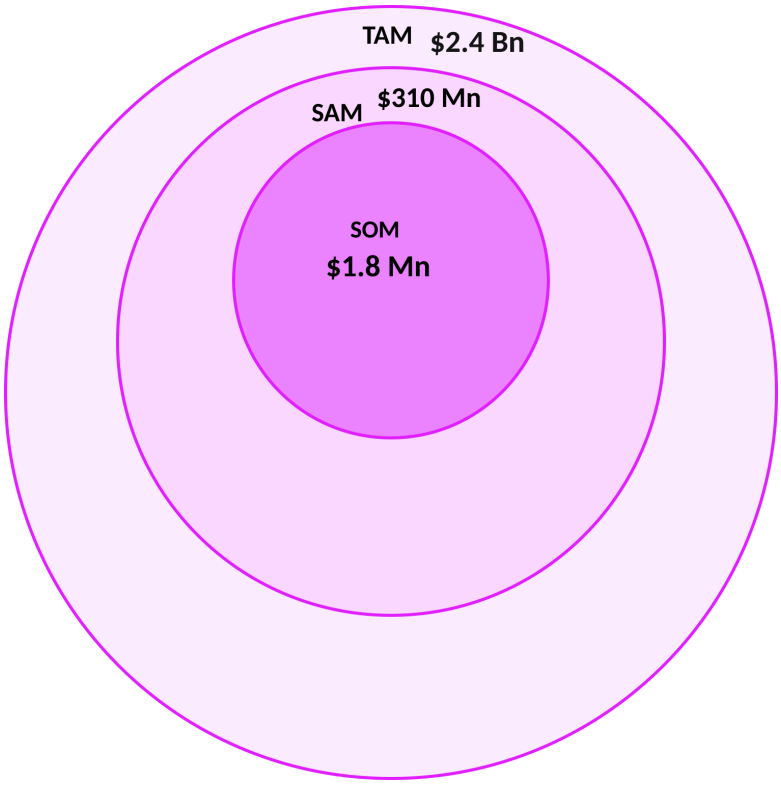
Payroll Admin	with built-in budget and compensation checks before payroll	validated before payroll and reduced manual re-entry
Employee	Receive timely, transparent communication of revised compensation with a clear old-vs-new comparison	Faster approval-to-notification turnaround and complete visibility into approved changes

2. Market Research

Why. Increment volume is stable, not shrinking. Aon's 2025-26 Annual Salary Increase and Turnover Survey, covering more than 1,400 organisations across 45 industries, projects an average increase of 9.1% for India in 2026, up from an actual 8.9% in 2025. Attrition has settled at 16.2%, close to pre-COVID levels. Every one of those organisations runs a cycle, and most of them run it on a spreadsheet

Regulatory trigger. India's Labour Codes require basic pay plus dearness allowance to constitute at least 50% of total remuneration. For a typical Indian structure where basic sits at 30 to 40% of CTC, this forces a re-cut of the salary structure which changes PF, gratuity and take-home in a single move. Every salary revision from this point forward is also a compliance event. Compliance obligations also vary state to state under the same central Code, so a single national validation rule is not sufficient.

Market Sizing & maturity. Compensation is no longer an annual back-office task. Organisations are increasingly running mid-year corrections and retention adjustments alongside the annual cycle, and the mid-market is outgrowing Excel. ex. An organisation of 500 employees with 60 managers cannot run a defensible, auditable cycle in a workbook, and increasingly does not want to try. This is precisely greytHR's installed base.



Current Market Trends. Salary revision is becoming more performance-, skills- and data-driven, with organisations moving away from uniform increments toward differentiated pay decisions based on performance, critical skills and business impact. At the same time, HR and payroll teams are increasingly using analytics, integrated HR-payroll data and stronger governance to support compensation planning and improve cost and compliance visibility. (source)

Category	Challenge for HR/payroll products	Links
Appraisal-linked salary revisions	Performance data often sits separately from salary revision workflows, creating manual handoffs and duplicate data entry	EY Future of Pay 2026
Compensation benchmarking & data-driven pay	HR needs meaningful salary context while making revisions not just historical salary reports.	EY Future of Pay 2025/2026
Budget-driven salary decisions	Managers need clear budget visibility and guardrails while making recommendations	EY Future of Pay 2026
Multi-level, governed decision-making	Multiple stakeholders can make the process slow unless approval rules, escalation and audit history are built into the workflow	EY+ADP
Budget-driven salary decisions	Compliance cannot be treated only as a post-payroll check; salary decisions need visibility into statutory and cost impact earlier in the process	EY+ADP Future of Pay 2025/26
Integrated HR + Payroll	Salary revision workflows need a reliable handoff to payroll without re-entry, reconciliation or avoidable corrections	ADP Future of Pay 2026

Target Users & Their Expectations.

Persona	What they expect	Design implication
HR Admin / HRBP	One view of submissions, budget, status and audit trail	Centralised cycle dashboard
Reporting Manager	Employee context, budget visibility and easy recommendations	Simple manager workspace with sensible defaults
Finance / Payroll	Accurate cost impact before approval and payroll-ready data	Show full cost impact and ensure clean payroll handoff
Employee	Clear revision amount, effective date and arrears details	Simple revision letter / before–after view

3. Competitor Analysis

Fourteen vendors sell something an Indian company could use today to run a salary revision. Six are Indian HR suites where revision sits inside the wider platform: Keka, HROne, Zoho People, Qandle, Empxtrack and ZingHR.

Five are enterprise HCM platforms with mature compensation modules: Darwinbox, SAP SuccessFactors, Workday, PeopleStrong and Oracle. Three are compensation-only tools, bought alongside the HRMS a company already runs and taking the revision cycle out of the suite: Compport, CompUp and Payscale.

The six compared below are the ones that come up most often against greytHR.

Capability	Keka	HROne	Zoho People	Darwinbox	SAP SF	Compport
Revision driven by appraisal ratings	✓	✓	◑	✓	✓	✓
Manager recommendation + approval chain	✓	✓	✓	✓	✓	✓
Budget cascaded to managers	✓	✓	—	✓	✓	✓
Pay bands / compa-ratio	◑	✓	—	✓	✓	✓
Calibration / outlier management	◑	◑	—	✓	✓	✓
Approved revision reaches payroll with arrears, no re-upload	✓	✓	◑	✓	◑	—
Employee shown why their structure changed	◑	◑	◑	◑	◑	✓

✓ strong · ◑ partial · — limited or not evident. Source: vendor documentation and product pages, September 2026.

Strengths, Weaknesses and Positioning.

	Positioning	Strength	Weakness greytHR can use
Keka	Indian HR suite	Ratings auto-generate increments; budget control and payroll sync with arrears	Thin on bands and calibration; statutory depth is not their pitch
HROne	Indian HR suite	Merit decision, letter and statutory payslip on one instance	Claims come mainly from their own marketing; smaller install base
Zoho People	SMB suite, price-led	Cheap; revisions, approvals and letters included	No budget, bands or calibration; data exports to payroll instead of landing in it

Darwinbox	Enterprise HCM	Budget modelling, benchmark data, pay equity, audit trails	Consultant-led rollout, priced well above greytHR's customer
SAP SuccessFactors	Enterprise HCM	The most mature compensation planning product in the market	Cost and effort out of reach in this segment; India payroll usually needs a partner
Compport	Compensation-only tool	Deep rewards merit cycles, simulation, employee transparency	No payroll of its own; every cycle ends in a handoff and a reconciliation

Gap Analysis.

Across the competitors reviewed, two actionable gaps were identified from vendor documentation and independent user reviews.

Company	**Gap**	**Evidence**
Zoho People	Weak enforcement	Salary outside the configured range can still be saved; the system displays a cautionary note rather than blocking it. (link)
Darwinbox	Implementation complexity	G2 shows custom pricing, a perceived high cost, and reviews mentioning learning curve, setup effort and complexity.(link)
SAP SuccessFactors	Configuration complexity	G2 reviews mention steep learning curves, complex configuration and situations requiring technical/expert support; G2 also reports high perceived cost and implementation time (link)
Compport	Integration dependency	Independent reviews report integration challenges and technical effort; however, Compport itself documents prebuilt HRIS connectors, so this should be framed as an integration consideration, not “no native integration. (link)

Conclusion. (Product opportunity: Simple setup + strong controls + native payroll integration)

greytHR can differentiate by bringing enterprise-style compensation controls such as salary-range validation, budget guardrails and approval governance into a simpler, self-configurable workflow designed for its existing HRMS customers.

4. Key Features

Features	Description
Revision Initiation	1. HR or managers can initiate salary revision cycles for eligible employees 2. Supports individual, bulk, or merit-based revision processes

Multi-Level Approval Workflow	1. Salary revision proposals pass through configurable approval hierarchies (Manager → Department Head → HR → Finance) 2. Ensures governance, transparency, and authorization before salary changes are finalized
Budget & Compensation Band Enforcement	1. Validates proposed salary increases against allocated budgets and predefined salary bands/pay grades 2. Prevents out-of-policy revisions and ensures pay equity
Payroll Integration	1. Approved salary revisions are automatically synchronized with payroll systems 2. Reduces manual updates and ensures accurate salary disbursement
Revision Analytics & Reporting	1. Provides dashboards and reports on salary increase trends, budget utilization, approval status, and compensation distribution 2. Helps HR and leadership make data-driven compensation decisions

My Suggestion. (AI-Assisted Analytics Intelligence Layer)

An AI-powered analytics layer enables HR and leadership teams to interact with salary revision data using natural language. Users can ask questions such as:

1. "Compare average hike percentages across departments."
2. "Show managers who allocated hikes above budget."
3. "Identify employees receiving below-market compensation."
4. "What is the projected payroll impact of the current revision cycle?"

AI Features

1. Conversational AI insights and summaries
2. Outlier detection for unusual manager recommendations. (ex.Pay-equity gap identification among employees with similar roles, grades, and performance ratings)
3. Executive-ready PDF and Word report export

Business Value. Transforms greytHR from a transaction-processing HRMS into an intelligent compensation decision-support platform, reducing analysis effort and enabling data-driven compensation decisions.

5. High-Level User Stories

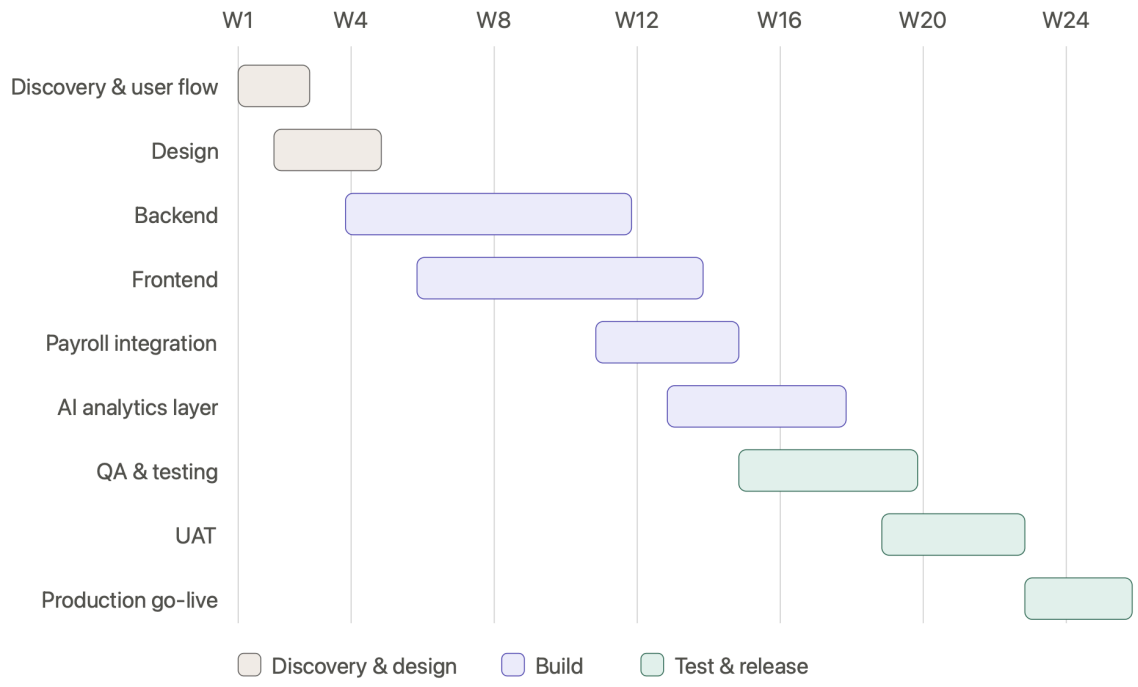
Persona	User Story	Acceptance Criteria
HR Admin (AI-Assisted Suggestion)	**As an** HR Admin, **I want to** ask compensation-related questions in	A. User can enter prompts such as:

	natural language and export the generated insights as PDF or Word reports **so that** I can quickly create executive-ready reports without manual analysis	1. "Compare average hike percentages across departments." 2. "Show managers whose average hike exceeds the department average." 3. "Identify salary revisions creating pay-equity gaps." B. System generates relevant charts, comparisons, and AI-generated summaries using live salary revision data C. User can export generated insights and visualizations to PDF or Word in a presentation-ready format E. Access to insights follows existing role-based permissions
HR Admin (AI-Assisted Suggestion)	**As a** HR Admin, **I want to** query salary revision data using natural language, **so that** I can quickly understand compensation trends and generate insights without manually analysing multiple reports	1. AI answers queries using authorised revision-cycle data and provides the underlying metrics used 2. Supports comparisons such as department-wise hike %, budget utilisation and revision distribution 3. Supports visualisations like bar chart, pie charts etc
Employee (AI-Assisted Suggestion)	**As an** Employee, **I want the** AI assistant to explain changes in my revised compensation structure **so that** I can understand how the revision affects my basic pay, allowances, deductions, and take-home salary	1. Employee can ask questions about their revised salary. 2. AI explains old vs. revised salary structure in simple language. 3. Employee can view estimated impact on monthly take-home salary
Reporting Manager (Core Workflow)	**As a** Reporting Manager, **I want to** review employee compensation and submit revision recommendations, **so that** I can make informed recommendations within my allocated budget and	**1.** Manager can view relevant employee context including current compensation and performance rating **2.** System calculates the proposed hike and resulting compensation before submission **3.** Recommendations exceeding configured

	compensation rules	budget/salary limits are flagged or blocked based on the organisation's policy
Payroll Admin (Core Workflow)	**As a** Payroll Admin, **I want** approved salary revisions to automatically reflect in payroll, **so that** I do not have to re-enter approved compensation changes manually	1. Only fully approved revisions are eligible for payroll reflection 2. Revised salary components, effective date and applicable changes are carried forward without alteration 3. If payroll processing cannot accept a revision, the system retains the approved revision, surfaces the exception and prevents silent data loss

6. Wireframes (refer to the end of the document)

7. Implementation Details



Phase	Week	ID	Task	Depends On

1. Discovery & User Flow	1–2	D1	Requirement finalisation with HR/Payroll SMEs; edge cases and personas	—
		D2	User flows and journey mapping across all four personas	D1
2. Design	2–4	S1	Wireframes and UI design for all screens	D2
		S2	Design sign-off with stakeholders	S1
		S3	Technical architecture, data model and API contract	D2, S1
3. Backend	4–11	B1	Core data model revision cycle, eligibility, audit trail	S3
		B2	Budget allocation and salary-band validation engine	B1, D3
		B3	Approval workflow engine — multi-level, delegation, escalation	B1
		B4	Payroll write-back APIs — CTC, components, arrears	B1, B2
		B5	Analytics aggregation layer and reporting APIs	B1, B3
4. Frontend	6–13	F1	HR cycle setup and configuration screens	S2, B1
		F2	Manager recommendation workspace with live budget tracking	S2, B2
		F3	Approval screens and audit trail view	S2, B3
		F4	Employee revision view — old vs new comparison	S2, B4
		F5	Analytics dashboard UI	S2, B5
5. Payroll Integration	11–14	P1	CTC and component write-back into payroll run	B4
		P2	Arrears computation for backdated effective dates	B4, P1
		P3	Exception handling and reconciliation reporting	P1, P2

6. AI Analytics Layer	13–17	A1	Natural-language query engine over authorised cycle data	B5
		A2	Outlier detection and pay-equity gap identification	B5, A1
		A3	Chart generation and PDF/Word export	A1, F5
7. QA	15–19	Q1	Functional and regression testing across all personas	F1–F5, B1–B5
		Q2	Integration testing — payroll and appraisal module	P1–P3
		Q3	Security and role-based access testing	Q1
		Q4	Performance testing at cycle scale (500+ revisions)	Q1, Q2
8. UAT	19–22	U1	Pilot cycle with 2–3 existing customers	Q1–Q4
		U2	Feedback incorporation and defect fixes	U1
		U3	UAT sign-off	U2
9. Production Go-Live	23–25	G1	Phased rollout and data migration	U3
		G2	Admin and end-user training, documentation	U3
		G3	Hypercare monitoring and post-launch support	G1

Risks. Key risks include payroll integration failures, incorrect salary calculations/effective dates, budget overruns, complex approval configurations, conflicting revisions and AI-generated inaccurate insights. Mitigation includes validation rules, approval gates, audit trails, integration testing, exception handling and human review of AI outputs.

Assumptions. Existing greytHR Payroll, Performance/Appraisal, Employee and Organisation modules provide the required data/services for integration. Customers provide their salary bands, budgets and approval policies. Existing RBAC can be extended to the workflow. Statutory salary-structure requirements will be handled through configurable rules where applicable. AI will remain decision-support only and will not autonomously approve or modify compensation

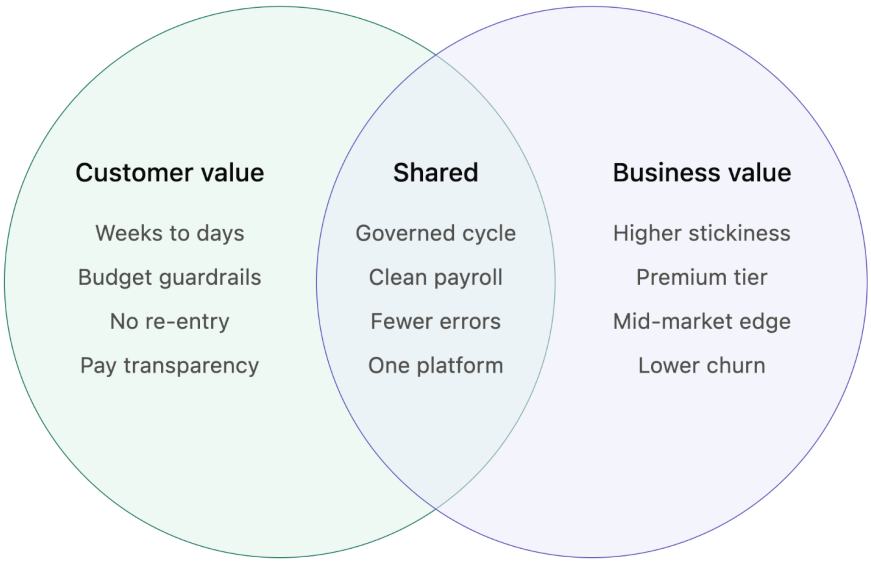
8. Business Impact

Strategic Alignment. greytHR's position in the market is built around Indian payroll depth for the mid-market at an accessible price point. The Salary Revision Workflow extends that position rather than departing from it. Where compensation-focused tools require a separate payroll handoff, and enterprise suites can involve greater implementation complexity, greytHR can provide governed compensation controls that flow directly into payroll within the existing HRMS ecosystem.

The solution also strengthens the connection between **Performance → Compensation → Approval → Payroll + AI.** Bringing these stages into a single workflow reduces offline coordination and creates a more connected employee lifecycle.

Customer Benefits. The overlap is where the two sides reinforce each other: a customer running their full compensation cycle inside greytHR gets governance and clean payroll data, and that same in-platform cycle is what makes the account harder to displace and supports a premium tier.

The AI analytics layer extends this further, repositioning greytHR from a system that processes compensation transactions to one that informs compensation decisions.

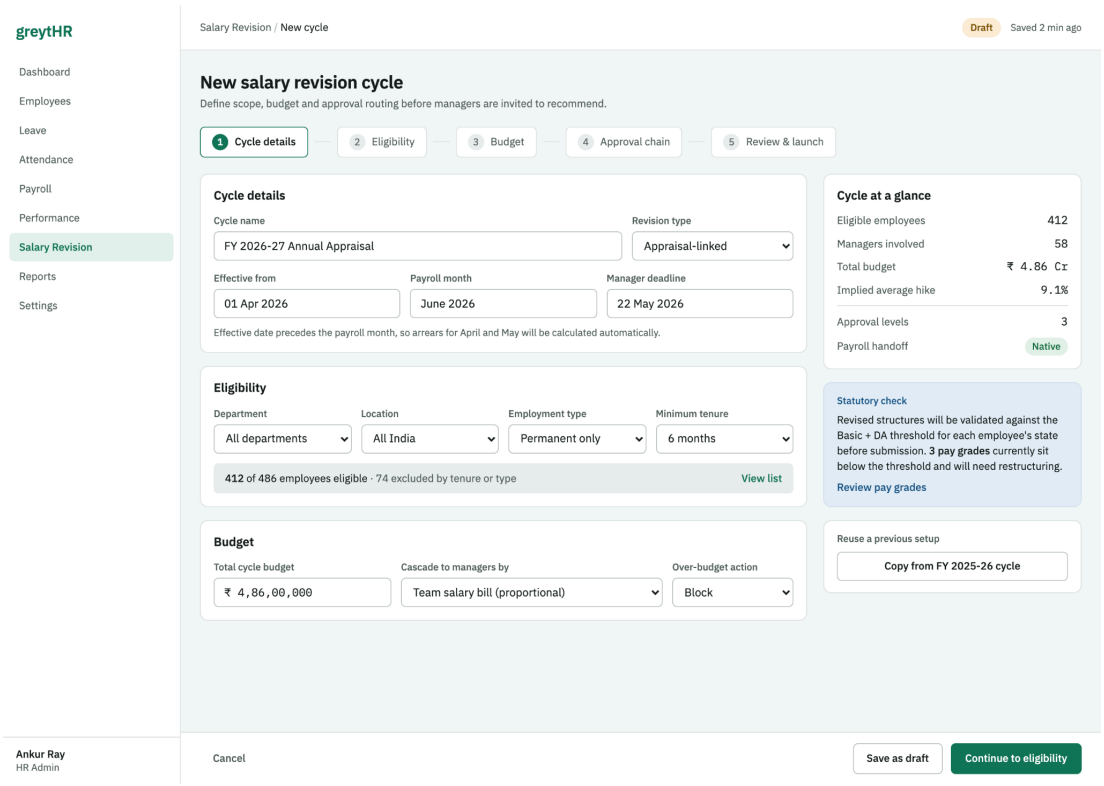


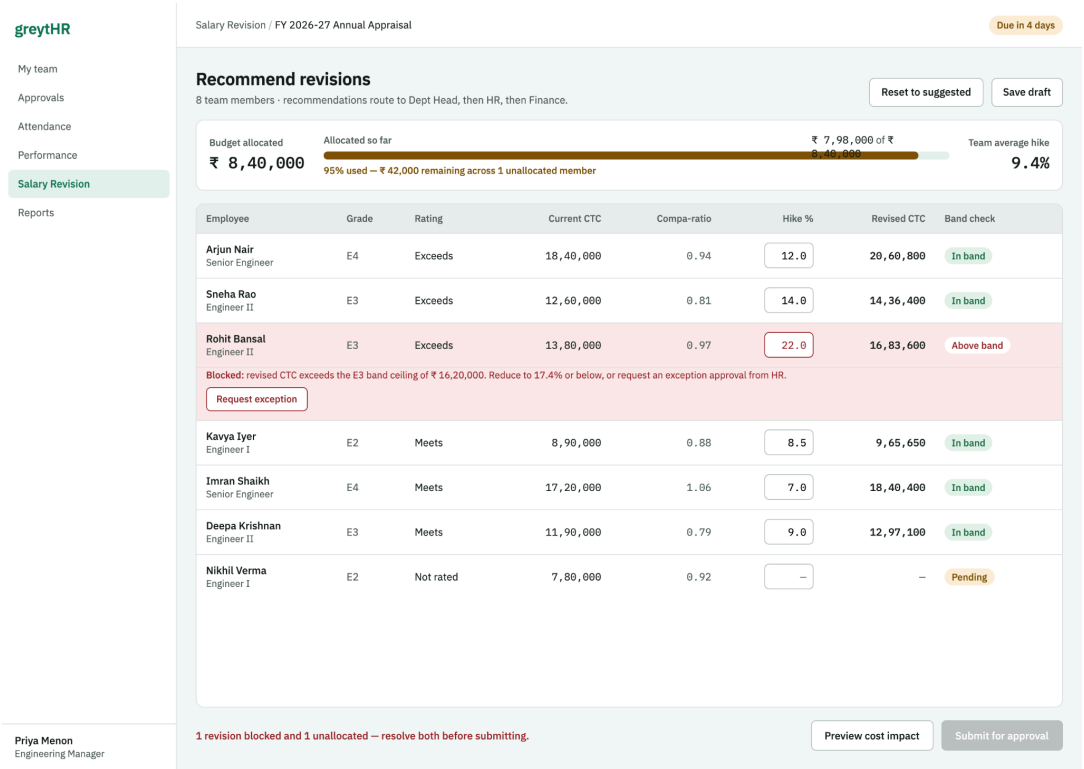
6. Wireframes

Sample Prototype Link: https://salary-revision-module.netlify.app/

Note. Initially, a design harness was set up for things like fonts, components, design styles, color codes, etc. Following that, using the PRD, the prototype was vibe coded on top of it.

Initiation and recommendation.





Payroll handoff and employee view.

